

INTRODUCTION & UNDERSTANDING PROBLEM STATEMENT

About team, Breaking down the problem, first principles & problem first approach

Team Name: 180DC IIT(ISM), Dhanbad



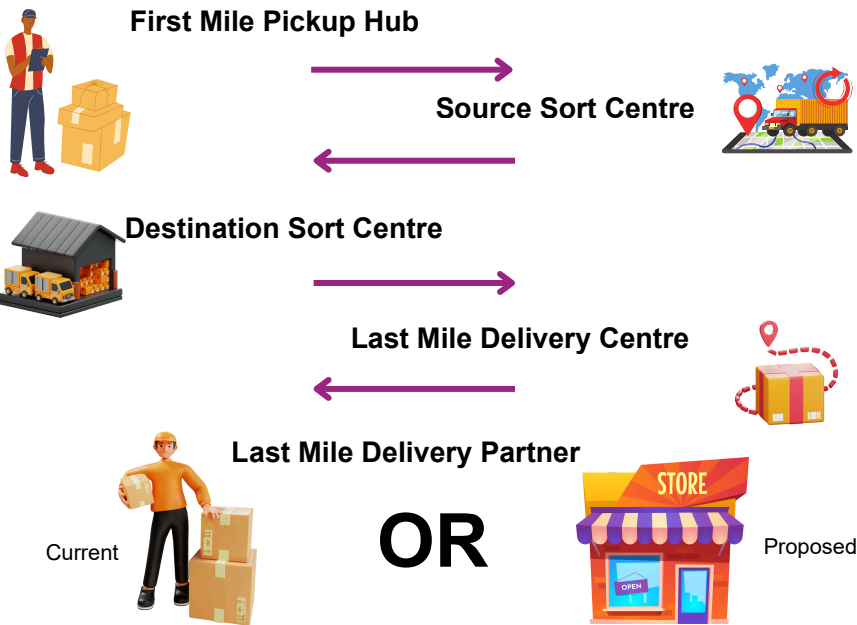
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Cost Inefficiency in Current Model

Assumptions: Flat ₹20 payout across geographies; ~300 working days/year.

FairCost=₹20× (Actual Avg Distance/ 5-6km Baseline)

- Dense Urban (600 parcels/day, 2–3 km): Fair cost ≈ ₹12–14 → ₹6–8 overpaid/parcel → ₹10–14L annual loss per pincode.
- Semi-Urban (300 parcels/day, 5–6 km): Fair cost ≈ ₹18–20 → near break-even, no optimisation.
- Rural (100 parcels/day, 8–10 km): Fair cost ≈ ₹25–28 → ₹5–8 underpaid/parcel → ₹1.5–2.4L annual deficit per pincode.

Current Scenario

- Deliveries from Last Mile Delivery Centers to customers handled by gig partners.
- Flat payout: ₹20 per delivery, uniform across all geographies.
- Capacity: Each partner handles ~50–70 parcels/day depending on density.

Why the Current Model is Insufficient ?

	Urban	Semi Urban	Rural
Parcel Volume	~600/day	~300/day	~100/day
Avg. Distance	2–3 km	5–6 km	8–10 km
Impact of Flat ₹20	Overpayment for short hops; cost base inflated.	No optimization: lacks density efficiency or rural incentives.	Underutilized partners, poor economics, unreliable service.

Opportunity Size

- ~13 million kiranas across India = an untapped hyperlocal delivery network every 100–200m.
- Every geography, from metros to rural, has kiranas as latent logistics capacity. Tapping into this density can transform last-mile delivery economic
- Faster scalability in Tier 2/3 → where 62% of India’s e-commerce shipments already originate

Click Here to see the Research Doc

Comparable Model

 I Have Space” (IHS) Program Scale: 28,000+ partner stores in 420 towns (ET Retail, 2022) Model: Kiranas deliver within 2–4 km, earning per delivery Strengths: Trust, hyperlocal knowledge, insurance incentives	 Flipkart – Kirana Partner Program Scale: 100,000+ kiranas (Big Billion Days 2021, ET) Model: Packages stored & delivered locally by kiranas Strengths: Expands reach in Tier-2/3 cities; scalable during peaks
 Shadowfax Partner Store Program Scale: 300+ cities Model: Kiranas & local shops as micro-delivery nodes (0.5–1 km) Strengths: Ultra-fast Turn around time (≤45 mins)	 Dunzo – Hyperlocal Gig + Kirana Mix Scale: Top metros Model: Local shops + gig riders deliver within 0.5–2 km Strengths: Efficient for short-radius deliveries

Hyperlocal Density: Kirana Presence Across Pincodes

Tier	Pincode/Area/City	Kirana count	Density
Tier 2	Varanasi/221002/(Lanka)	~244	●
Tier 2	Varanasi/221005 (Sigra)	~186	●
Tier 2	Varanasi/221003 (Shivpur)	~134	●
Tier 2	Jaipur/ 302001 (Ashok Nagar)	~293	●
Tier 2	Jaipur/302019 (Shyam Nagar)	~140-160	●
Tier 3	Dhanbad/826001/Bankmore	~60-80	●
Rural	Varanasi/ 221112 / Bariyansanpur	~25-30	●
Rural	Bhagalpur /854339/ (Bhawanipur)	~25-30	●

Insights:

- Urban pincodes = 100–300 kiranas each → dense, hyperlocal delivery mesh.
- Tier 3 cities = 50+ kiranas → viable micro-delivery zones.
- Rural areas = 25–30 kiranas → provide minimum viable nodes for low-volume coverage.

OUR RESEARCH & USER PERSPECTIVE

Phase 1: Primary research of 15 Kirana latent personas in Dhanbad and 100+ online sources



View our user interview recording & Insights in detail
Click Here

Questions for User Interview

Owner or Employed.
Shop on rent or your own?

Shop opening and closing time?

Latent Time Available

Can you identify all of the locality within 500 metres?

Where do you live?

How much do you earn daily/monthly?

Locality

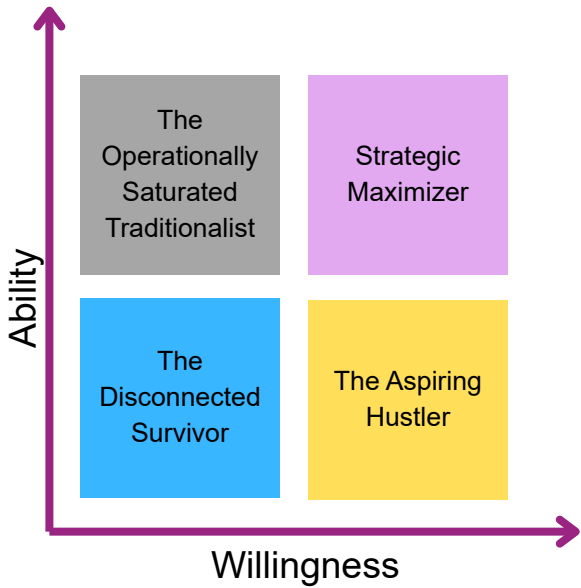
Do you know how to operate mobile & Apps?

Interested for idea becoming part of Valmo?

Reason

	Pain Points Identified (Voice of User)/ Sentiments	Segment Score(#User Review(/15) +Online Sources Relevancy(/5))
1	In my free time, I have to travel to main market to get items from supplier.	0.4+1=1.4
2	I don't have any vehicle to deliver the parcels	0.33+1=1.33
3	I don't have time to deliver the parcels, have to stay at the shop from early morning till night 9PM.	0.46+0.6=1.06
4	I am employed currently, cannot leave the shop.	0.26+0.8=1.06
5	I will earn more by staying additional at the shop than delivering these packages for mere Rs.15-20.	0.33+0.6=0.93
6	I'm exhausted in my current work, I have no energy left for deliveries/ I usually rest during the free time.	0.46+0.4=0.86
7	Why I would deliver someone else products, I'll deliver my own products from shop	0.2+0.6=0.8
8	I don't like the job of delivering parcels, it's just I don't wanna do. (User is ashamed to work as a delivery agent)	0.26+0.4=0.66
9	I don't use a smartphone.	0.2+0.2=0.4
10	I already have enough customers	0.06+0.2=0.26

Archae	Description	Sentiments
Strategic Maximizer	User who have the necessary resources: Time, Vehicle, Staff High Monthly Income. Barriers: Unit Economics, Psychological	#5, #10, #8 =5
The Aspiring Hustler	User who have time available and have the motivation to earn but constrained by logistical(vehicle) or operational barriers. Barriers: Vehicle Availability, Financial, Employment	#2,#3,#4=9
The Operationally Saturated Traditionalist	User who has the necessary resources but lacks time and energy for additional responsibilities. Barriers: Functional Limit, Psychological	#1,#6,#7=7
The Disconnected Survivor	User who do not even have the basic resources to participate. Barriers: Technological, Infrastructure	#2,#9=4



Possible Target

- Maximizer and Hustler
High willingness to adopt and grow their business.
- >Maximizer: Already possess skills, Sentiments easier to solve.
- >Hustler: Eager, sentiments will take a lot of efforts.

Targets to Avoid

- Traditionalist and Survivor
- >Traditionalist: Rigid thought process, Sentiments will take a lot of efforts as well.
- >Survivor: Focus on Day to Day survival, Sentiments cannot be solved by company.(Hence very less as the formula cannot calculate basic functions)

Targeted Value Proposition

Maximizer -> 
Motivation
Overall substantial profit

Behavior Usage:
Tap into Analytics to prove long term profit.

Value Proposition:
Increase your revenue manifold times with a streamlined system.

Hustler -> 
Motivation
Any additional income.

Behavior Usage:
Tap into opportunities matrix with the extra revenue.

Value Proposition:
Monetize your extra time.

USER RESEARCH & PAIN POINTS

Phase 2: 9+ In-person Interviews with Kirana Personas & 3+ Delivery Partners



The daily routine is **heavily busy typically from 7AM TO 10PM**, divided abruptly between customers and shop management. This leaves them with **little bandwidth for other activities**.



The rise of **E&Q- Commerce** has created an **unsustainable competition** with their aggressive offers directly affecting profits and customers.



Kirana personas **don't charge anything to deliver at homes**, if asked to do so majorly declined. Some suggested at least 5-10% of delivered goods.



Older shop owners are also **not comfortable with new apps** over smartphones if they do have and prefer familiar repetitive apps and functions.



Older kirana personas are reluctant to adapt a newer idea. too much occupied with shop & only rest in free time. Constrained by time, responsibilities, physical abilities.



Having built their businesses from the ground up through hard-work, these owners view their shop as a symbol of their success & social standing. They view the **job of delivering goods as lowly, ego & dignity still plays a major role**



Shopkeepers suffer with inconsistent profit margins, ranging from **5% to 30% each** day. Usually on an average earn 10Rs for every 100Rs Earned.



Restocking happens either **directly procuring from nearby retailer or delivered to doorstep**. **Majority ordered online(WhatsApp)** & delivered directly to shop. Some personas get busy with inventory procurement in their Free time.



The expected earnings of kirana personas agreeing to do deliveries is **Rs.100-150 per hour**.



There are **niche shops** in the market which sell one-of-a-kind, high ticket products, which has to be made and sold at the shop. These are segments to be absolutely avoided.

USER INTERVIEW QUESTIONS										
How does your day look like? What time do you open and close the shop and what does your day look like in between	Do you yourself procure the items, or are some delivered to you at your doorstep?	Do you do home deliveries? If yes, how do you manage it?	If you were to do doorstep delivery for your goods in your locality, how much delivery charge would you expect for delivering 1 kg of rice?	How much margin do you earn on a sale of Rs.100	Can you identify all of the locality within 500 metres?(took examples according to the shop	How do you handle payments currently? How much percent of the payment flows through UPI and Cash each?	What is the biggest challenge you face in earning right now? Why is it so?	Do you own and use a smartphone? If Yes, what are the most used apps on your smartphone?	Did you work part-time other than the current one? What was it?	Would you be willing to take on an additional responsibility if it were flexible and brought in some extra income during your off-peak hours?

DETAILED INSIGHTS

CLICK HERE

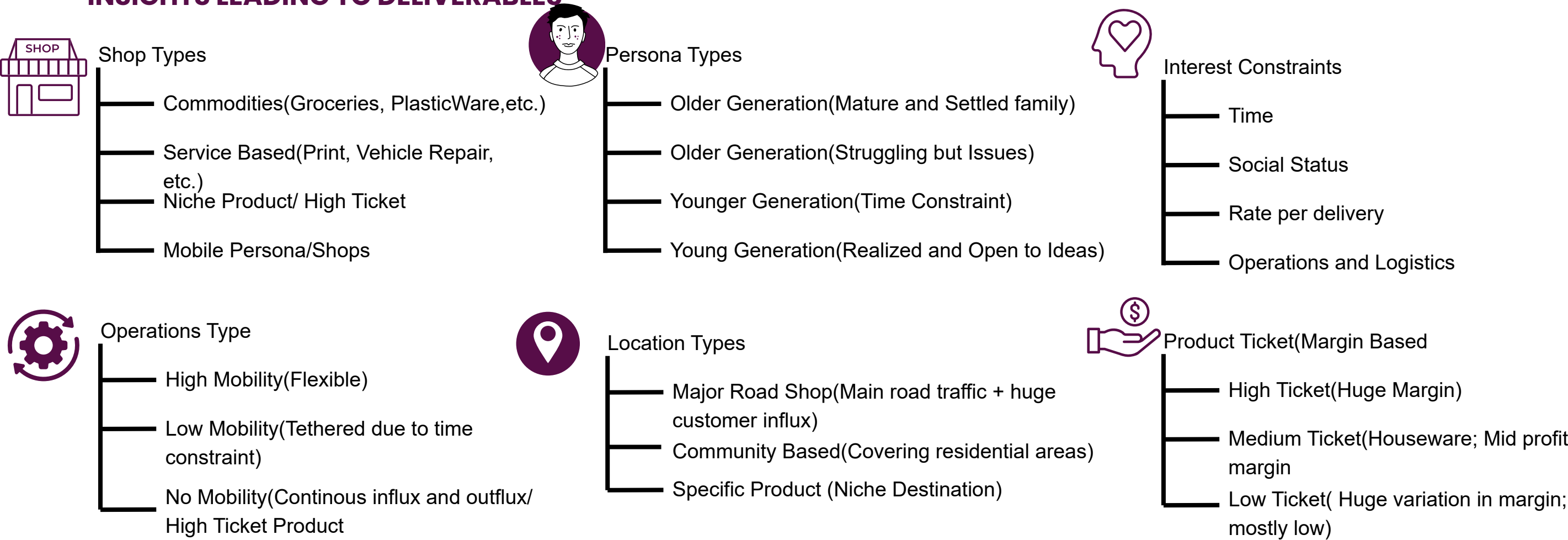
SENTIMENT PRIORITIZATION AND DELIVERABLE PROCESS

Listen → Rank → Fix → Deliver



Sentiment To Solve	Suggested Solution	Impact
I don't have any vehicle to deliver the parcels	Partner with mobility service companies such as Zypp Electric,Yulu who are already in this sector and introduce a partnership program at lower rates when tied up with Valmo.	Increases the potential pool. Also can introduce additional programs such as loyalty programs, or additional contracts in favour of Valmo
I don't have time to deliver the parcels, have to stay at the shop from early morning till night 9PM.	Partnership of shop with not just the owner. Need to figure out a model where employees at store can also work as delivery partner. Moonshot solution- to have the order allocation and orders delivered to user at their store or home. User can deliver the orders in free hours in morning or evening, and cash handling on weekly basis on weekends	Flexible model could attract more personas to participate. Partnership broadens → doesn't depend on one individual's ego or availability.
I am employed currently, cannot leave the shop.	The working hours is fixed for an employee. The delivery system can be kept flexible to also accomodate Meesho customers who want the delivery at specific time and match them with users who have time rigidity.	This creates a win-win situation, where the first attempt delivery rate will be highly increased.
I will earn more by staying additional at the shop than delivering these packages for mere Rs.15-20.	Earning Potential: A report of cities of India and order density of those cities, mentioning the earning potential and creating an analytics report, updating it during significant changes.	Real time check for the user, and decide the effort and the additional income potential and decide what's best for him.

INSIGHTS LEADING TO DELIVERABLES



Deliverables of Pilot most impactful for the following ideal persona profile

- Commodities and Service(Preferred)
- Younger Generation(Open to Earning)
- Community Based
- High Mobility
- Medium & Low Ticket

PRICING FRAMEWORK

Price per delivery given to Kirana personas detailed breakdown

KEY ASSUMPTIONS

Daily committed hours = 2 only as we're considering them to utilize only their latent time

Time per order, Rural>Semi-Urban>Urban-Dense

Expected Earnings from User Research. Also, Expected earnings, Urban Dense> Semi-urban> Rural; due to cost of living

Kirana Operating hours data from User research

Average Gross Margins, varies from 3% to 30% depending upon the products; thus assumed it to be 10% to be average

Average Daily Sales, guesstimated as very little insights got from user research as kirana personas were reluctant in revealing their earnings and often wrong answers.

DETAILED ASSUMPTIONS
BREAKDOWN - [CLICK HERE!](#)

DAILY SALES GUESSTIMATE

To figure out the daily sales across different micro-geographies, we used the monthly income of an average family to relate with the min and max conditions.

	Rural	Semi-urban	Urban dense
Monthly Income of Kirana Persona	5000	10000	20000
Rent for Shop	1000	2000	5000
Total Money required by kirana persona to sustain	6000	12000	25000
Buffer	5%	5%	5%
Buffer Amount for Miscellaneous @5%	300	600	1250
Net Total Income	6300	12600	26250
Gross Margin of Kirana Items	15%	15%	15%
Total Revenue Required at Kirana store	42000	84000	175000
Daily Sales	1400.00	2800.00	5833.33



MAX

the assumptions the maximum cost conditions at which the kirana persona will be ready to work

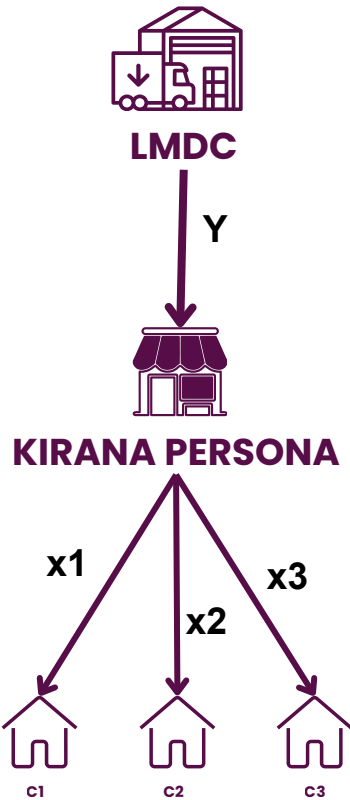
MIN

the assumptions the minimum cost conditions at which the kirana persona will be ready to work

		MAX Case			MIN Case		
		Rural	Semi- Urban	Urban Dense	Rural	Semi- Urban	Urban Dense
Delivery Cost Calculation	Hours Daily Comitted to Valmo	2	2	2	2	2	2
	Time per order in mins	12	8	5	10	6	3
	Delivered Orders per day	10	15	24	12	20	40
	LMDC Distance in KM from Kirana	12	10	8	8	6	4
	Total distance in Kms for all orders (400m one side)	8	12	19.2	9.6	16	32
Opportunity Cost Calculation	Kirana Operating Hours 12 Hours (8AM -10PM)	12	12	12	12	12	12
	Daily average sales	1400	2800	5800	800	1500	3000
	Average Gross Margin	10%	10%	10%	10%	10%	10%
	Daily average profit	140	280	580	80	150	300
	Per hour profit earned	11.67	23.33	48.33	6.67	12.5	25
	Opportunity Cost per hour	2.33	4.67	9.67	1.33	2.5	5
Final Calculations	Order Acquisition Cost from LMDC(Y)	48	40	32	32	24	16
	Delivery Cost(X)	16	24	38.4	19.2	32	64
	Opportunity Cost(Z)	4.67	9.33	19.33	2.67	5	10
	Cost to Kirana	68.67	73.33	89.73	53.87	61	90
	Expected Earnings per hour	50	70	90	40	60	80
	total Earnings	100	140	180	80	120	160
Total Revenue		168.67	213.33	269.73	133.87	181	250
Price per order		16.87	14.22	11.24	11.16	9.05	6.25

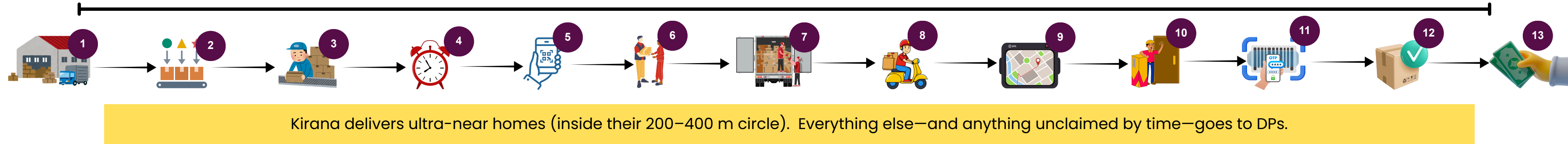


Delivery Cost Calculation
Travel by 2-Wheeler

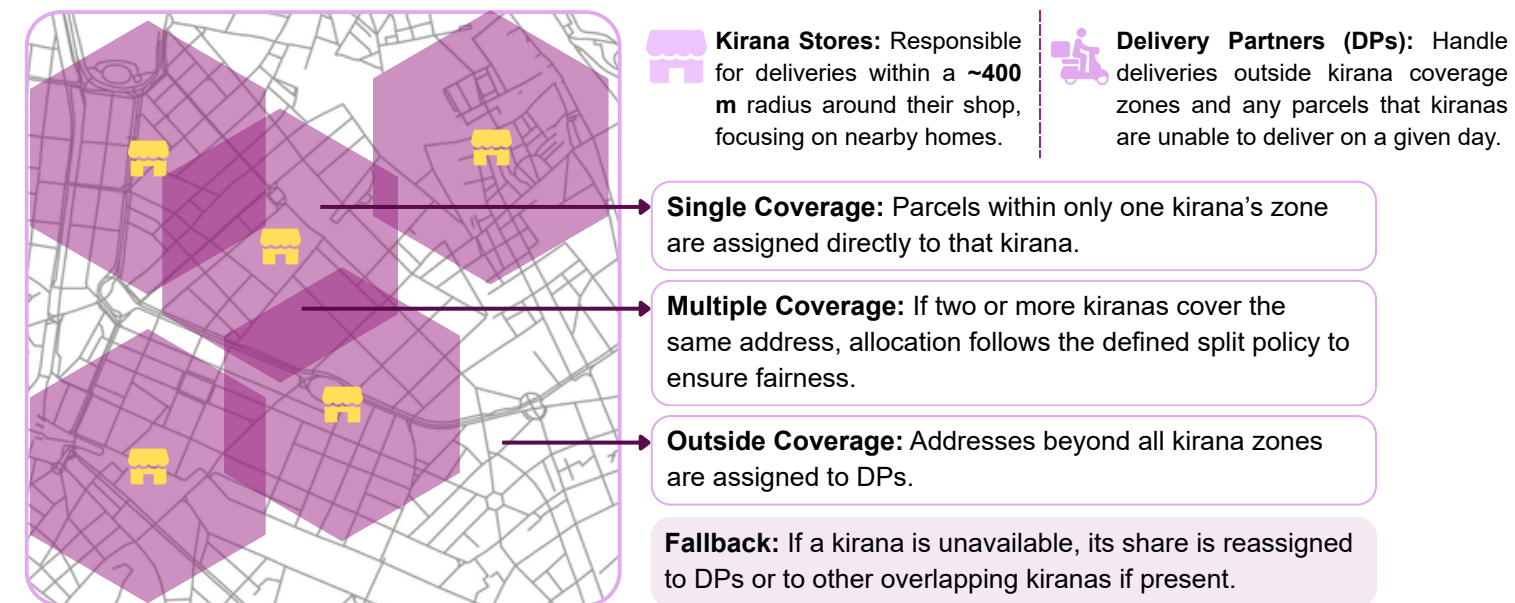


OPERATIONAL MODEL: HYPERLOCAL × SCALABLE

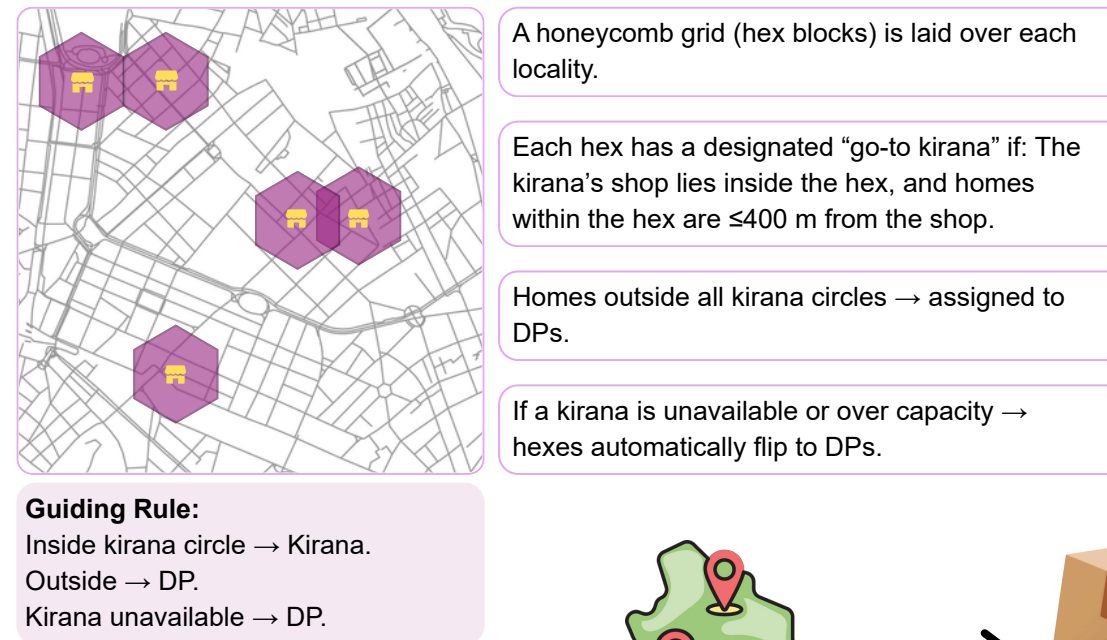
Arrival-based kirana claims; overlaps pre-split; Tracking of orders



1) Kirana-Priority Coverage Model - Who delivers what rule



2) How We Split the Map?



3) Split Policy in Case of Overlapping Coverage

When multiple kiranas cover the same address, parcels are allocated fairly using one of three rules:

- 1.Turn-by-Turn Rotation:** Parcels are assigned sequentially among kiranas (e.g., A → B → C → A).
- 2.Proximity-Based:** The closest kirana to the address receives the parcel.
- 3.Weekly Balancing:** Parcel assignments are adjusted over the week to equalize each kirana's share. Addresses outside all kirana circles are automatically assigned to DPs.

Kirana-First Micro-Last-Mile Protocol



Zoning and Sorting

- Standardize the map: Break the locality into small hex blocks (a few lanes or 1–2 apartments). Same block size everywhere so planning stays consistent.
- Sort keys (in order): Hex → Payment (Prepaid/COD) → Priority/SLA → Size.
- Keep complexes intact: All parcels for one building/society stay in one tote to cut repeated gate entries and make COD easier.
- Output: Pre-bundled totes by micro-area (hex)—not by rider. Anyone (Kirana or DP) can scan and go.



H-1 Pre-Bundling & Staging

- Pre-bundle only: Hub pre-sorts by micro-areas (hex cells) and priority/payment — not by person.
- Bundle types created:
- Kirana – Fixed ring: Addresses within ≤400 m of the shop.
 - Kirana – Flexible ring: Optional; Fixed + Flex ≤400 m total.
 - DP – Area clusters: Everything outside Kirana rings + overflow.
 - Soft holds (not assignments):
 - System prefers the Kirana for its Fixed ring and prefers usual DPs for their clusters (“territory stickiness”), but doesn't assign at night.
 - Each preferred bundle gets a morning hold (e.g., Kirana till 11:00, optional DP till 10:15). On expiry, the tote auto-releases to the next eligible party.



Scan-to-Claim Workflow

- Hub opes at 8am
- 8:00–11 am = kirana claim window.
 - A kirana comes and scans → they immediately get their mini-bundle (and all houses only inside their own circle).
- if someone doesn't come
- At 11 am, any unclaimed mini-bundles expire.
 - Expired orders go to the delivery boys (DPs) (or to another kirana who is standing at the counter right then and agrees).



On-Road SOP

- Scan-out & load: Scan tote + items; app shows item count + COD total.
- Start & notify: Tap Start → GPS on; customer gets “Out for delivery” + ETA.
- Doorstep: Call → deliver → OTP/barcode for proof.
- COD: Prefer UPI; if cash, count in view and log in app.
- If fail: Select reason (no answer / wrong address / refused / payment); max 3 attempts, else RTO.
- Cancellations: No payout (current policy).
- EOD: Cash drop T+0 (sealed + batch QR) → same-day recon; scan-in RTOs; close route, roll reattempts to next day.

PILOT CITIES: KANPUR & GUWAHATI

Full-city, hyperlocal model tested across North & Northeast India

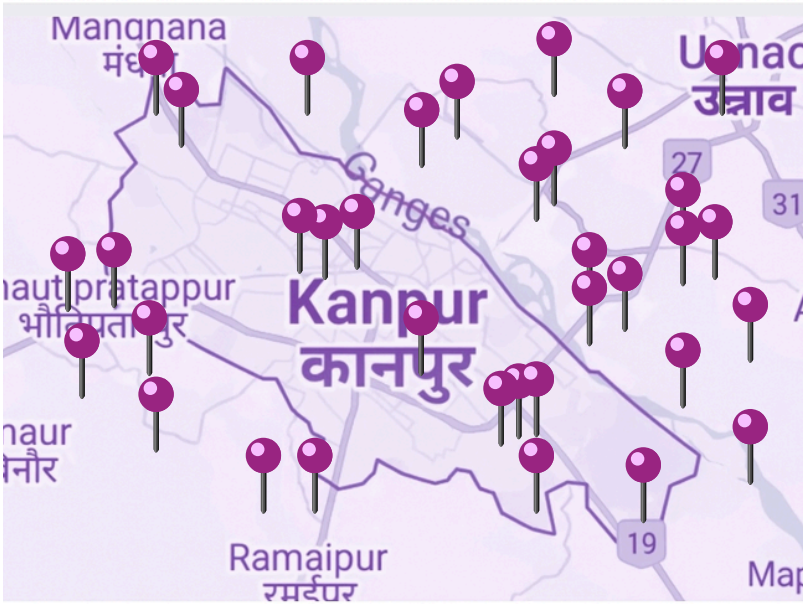


PILOT CITY 1 : KANPUR , UTTAR PRADESH

Why Kanpur (Pilot City)



- Fits Meesho's core: UP is among the fastest-growing e-commerce states; Kanpur is a large Tier-2 city with strong Gen-Z adoption (1 in 3 users <25).
- Right density for kiranas: Mixed residential + market clusters → perfect for 200–400 m hyperlocal drops.
- Lower ops friction than metros: Better hop speeds, simpler SOP rollout in Hindi, faster word-of-mouth spread.
- Scalable playbook: Learnings will replicate across UP/Bihar cities (Lucknow, Varanasi, Patna).



Total 4225 Provision Stores in Kanpur

2684 Vehicle Repair Services in Kanpur

5062 Chemists in Kanpur

599 Photocopying Centres in Kanpur

ITERATE

Keep Iterating with different parameters

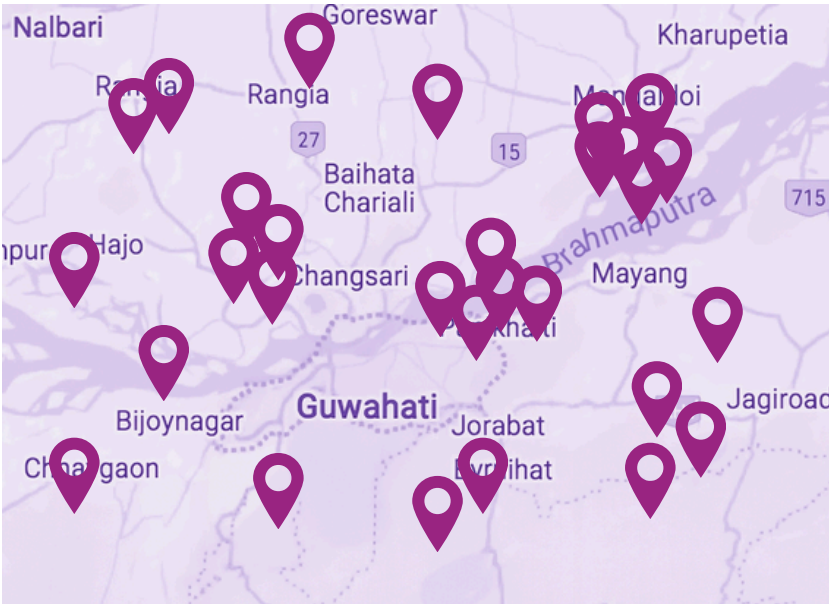


PILOT CITY 2 : GUWAHATI , ASSAM

Why Guwahati (Pilot City)



- Gateway to the Northeast: Guwahati is the region's logistics hub—great roads, warehousing, and access to nearby towns—so learnings scale across the NE.
- High social influence: NE shoppers are strongly influenced by creator content—perfect for our inbound + referral model.
- Operational diversity: Compact markets + semi-urban fringes let us prove 200–400 m micro-drops in very different lane conditions.
- Language-ready: We can run the full stack in Assamese + Hindi + English (forms, IVR, tutorials, ads).



Total 5675 Grocery Stores in Guwahati

732 Car Repair Services in Guwahati

2922 Chemists in Guwahati

477 Photocopying Centres in Guwahati

IMPROVE

Keep Improving the parameters till efficient model acheived

Kanpur Scope (What we'll actually run)



- City: ~260 km², 30 pincodes
- Density mix: 10 dense-urban pins @ 600/day each = 6,000/day; 20 semi-urban pins @ 300/day each = 6,000/day
- Total volume: ~12,000 parcels/day citywide
- Delivery mix: Kirana partners (200–400 m radius) + existing DPs (unchanged)
- Kirana payouts: Dense ₹14, Semi ₹12 (Rural ₹9 —not used here); DP stays ₹20



Guwahati Scope (What we'll actually run)

- City: ~216 km², 42 pincodes
- Density mix: 17 dense-urban pins @ 600/day each = 10,200/day; 25 semi-urban pins @ 300/day each = 7,500/day
- Total volume: ~17,700 parcels/day citywide
- Delivery model: Kirana partners (200–400 m radius) + existing DPs
- Kirana payouts: Dense ₹14, Semi ₹12 (Rural ₹9 —not used here); DP stays ₹20
- Languages: Assamese / Hindi / English (form, IVR, training)

PILOT CITIES: KANPUR & GUWAHATI

Full-city, hyperlocal model tested across North & Northeast India



OUR MAIN OBSERVATION THROUGH PILOT

KEY METRIC TO MEASURE IT

MARKETING STRATEGY BEFORE PILOT LAUNCH

- 1.Are our offers attractive? : Sign-up CTR, Hub show-up rate , Form submits
- 2.Is the pricing/bonus right? : Batch Acceptance %, ₹ per active hour, Consistency rate (Active days ÷ 30) , Onboarded kiranas (approved → first delivery) , Referrals sent per ID, Referrals accepted, Referral conversion %
- 3.Real conversion vs projection : Activated kiranas / total outreach, Time-to-first-delivery
- 4.Marketing campaign success : Form Conversion rate (submits ÷ visits), Bounce rate, Error rate , Cost per acquisition , cost per click , Referral share of activations, Referral conversion %, Referral CPA
- 5.Onboarding flow : Form → Verify → Approve → Training (video + in-person) → Go-live : Drop at each step
- 6.Training Success : Tutorial video completion %, In-person attendance% , App-readiness checklist pass % (login, scans, GPS, UPI) , Assisted first-delivery success %
- 7.Customer feedback : Customer Satisfaction Score (1–5), NPS (lite)
- 8.Probation attrition (<30d) : % partners exiting in first month
- 9.Partner reliability : Active days/30, On-time batch pickup %
- 10.COD risk (cash safety) : COD variance % = (Cash expected – Cash returned) ÷ Cash expected ,Cash audit fails; COD cap ₹3,000/run , reconciliation before T+1 payout1
- 11.Parcel risk (loss/tamper/swap) : Scan-miss % (handover/arrival/PoD/RTO) , Dispute-upheld % (proved wrong item/tamper/no valid PoD)
- 12.Delivery difficulty (on-ground effort) : First-Attempt Success %, RTO %, Reattempts/parcel , Soft-timeout reassign %, Stops/hour , NPA rate , Address resolution time (min), Parcel aging >24h %, Escalations/100
- 13.Technical Barriers : Guided prompts/100, Backtracks/100, Time on scan/OTP/COD, Help tips opened, Wrong-scan % , Survey
- 14.Top challenges (tracked + fixed weekly) : Parcel/COD fraud, Low onboarding, Low awareness, Customer complaints, Misbehavior, Tech barriers, Hub process misses
- Metric examples: Scan-miss %, COD variance %, Issues/100 deliveries, Conduct complaints/100, Kitting errors/1,000

Online Ads

Online ads in Hindi / local language / English on Facebook, Instagram, YouTube Shorts, Google, and WhatsApp broadcasts.

Insight: Some kirana owners feel delivery work is “shameful” or “not dignified”

We can run advertisement for them for spreading awareness

Example of ad messages: Dignity & Pride:
Hinglish: “Delivery sharm ki baat nahi—yeh mohalla seva hai.”
Hindi: “डिलीवरी शर्म नहीं—मोहल्ला सेवा है।”

Partnerships

Partner with kirana apps like Khatabook, Kirana Club, Udaan, Jumbotail, MaxWholesale, KiranaPro, SnapBizz, ParallelDots and run in app sponsored ads with QR links to apply

Partner with kirana associations & distributors share our poster and apply link/QR in their groups and we can give them some incentives like Meesho coupons

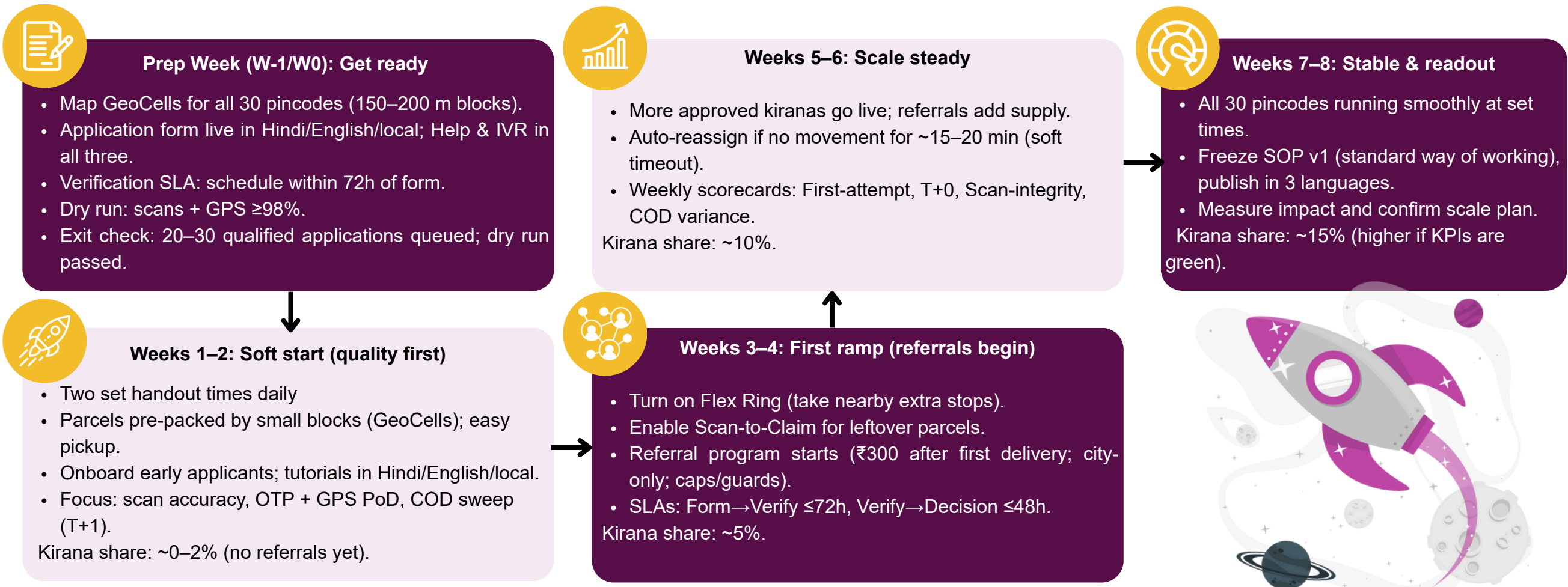
Posters with a QR near hubs and wholesale markets

Offers and Rewards

Referrals (start Week 3): If your referral does their first delivery, you get ₹300.

Simple offers we'll test (A/B):
Welcome offer:
Option A: ₹200 Meesho Shopping Coupon after your first successful delivery. Eg: Do 1 delivery → get a ₹200 coupon code on WhatsApp/SMS.
Option B (variant): ₹250 Meesho Shopping Coupon after your first 5 deliveries (within 7 days).
Why test? Checks if a slightly bigger coupon tied to a small milestone drives better activation/early retention.

Pilot Timing & Ramp (8 weeks live + prep)



SCALE PLAN (POST-PILOT) & RISK MITIGATIONS

From pilot insights to Pan-India launch: secure, data-led, repeatable



Step 1 — Pilot → Readout → Gate 1

- What we do : Run the citywide pilot for 8 weeks, then a 2-week data readout.
- What we check : Quality of model , Risk associated, Operational efficiencies & Inefficiency , Growth, Gap
- Gate 1 : Is the Pilot OK?
- Yes: move to Fix & SOP.
- NO: fix issues and re-run a short cycle in another city to isolate geography vs. model.



Step 2 — Fix & Freeze (SOP v1)

- Fix the gaps and challenges found in pilot model .
- Reframe the model with new fixes and changes
- Divide the timeframe into multiple Quarters . like Q1, Q2 , Q3



Step 3 — Scale in Waves (Q1 → Q4)

- Launch 4–5 cities each quarter (pick by parcel volume, kirana density, UPI/tech use, hub capacity).
- Launch rule (every city): Day-1 citywide, 2 fixed dispatches/day → from Week 3 turn on Flex + Scan-to-Claim + Referrals; auto-reassign after 15–20 min idle.
- Quarter loop: Launch → Measure → Fix → SOP v1.x → Next wave.

How to identify reliable kirana personas?

1. **Partner Up with FMCG Distributors**→ They know which stores have the highest sales, pay their bills on time, and are the most reliable.
2. **Collaborate with Kirana Startups** like KiranaClub, Khatabook: → Stores that manage their inventory well (even if it's for their own business) are likely to be organized and reliable. Select stores that are "power users" of the partner platform's app. They are already comfortable with the technology
3. **Google Reviews**



POTENTIAL RISKS & MITIGATION STRATEGIES



Cash missing (COD leakage)

- Ask partners to settle all COD cash at the end of each day.
- If any cash is missing or not returned within 2 days, the kirana partner's ID will be temporarily inactivated and the nearest hub will conduct an enquiry.
- If fraud is confirmed, a penalty will be charged (and further action may be taken as per policy).

Package Quality / Package Theft

- Scan at every step: , Sealed tote with QR
- Click and upload photo of parcel at the doorstep
- If a parcel isn't delivered or is missing/swapped: The same penalty policy applies — immediate flag, temporary ID suspension, hub enquiry, and if fraud is confirmed, penalty and possible blacklist/legal action.

Fake delivery proof (ghost PoD)

- Require at delivery: enter the OTP, ensure a GPS match , and upload delivery photo on the spot.
- Monitoring: trigger alerts for unusual timing/routes & run random IVR callbacks to customers to confirm receipt.

Customer disputes / poor conduct

- This risk is lower because kirana partners belong to the same locality.
- If the customer satisfaction score drops, we will take immediate action: provide etiquette training and de-prioritize low-rated partners.

Partner no-show / inconsistency

- Handle via a 30-day probation period and auto-assignment of their parcels to delivery partners or kirana partners in the same/overlapping area.
- If a kirana partner is inconsistent for more than a week without informing or reporting to the nearest hub, their ID will be temporarily inactivated.

Language / low digital comfort

- Provide clear training tutorials in Hindi / English / local language and also conduct 7 days of in-person training (hub demo + assisted first deliveries) to build confidence and reduce errors.



Onboarding Process



Website registration: valmo.in → form (owner/store details, address+landmark)



Acknowledgement: Email/SMS "Application received"



Auto-assign to nearest LMDC; schedule same/next-day visit.



Physical verification @ store + collect physical docs



Decision: Email/SMS "Verification outcome" (Approve//Reject)



Onboarding kit : App links, ID, tutorial videos and Training & probation starts

EXPECTED COST REDUCTION & DELIVERY SUCCESS RATES

Detailed Cost analysis of previous and proposed modell

DELIVERY SUCCESS RATES



Lower First attempt success rate (FASR) → More reattempts → Lower throughput per Delivery partner

Effective Deliveries = AssignedOrders × FASR
Total attempts per order = 1+(1-FASR1)*(1+1-FASR2)

first attempt delivery success rate is a critical indicator of logistical efficiency and customer satisfaction. The variability in this rate, driven by a combination of recipient, logistical, and external factors, underscores the complexity of the last-mile delivery process.

	Urban	Semi	Rural
Reduced monthly Attempts %	9.74%	15.00%	19.08%



Empowering local Kirana stores as delivery partners gives us a unique competitive edge: deep, authentic local knowledge. Our partners know their areas inside and out, which is a game-changer for last-mile delivery. Because of this distinct advantage, we are moving away from industry-standard delivery rates and setting our own ambitious targets for First Attempt Delivery Success. We're aiming for:

- 95% in dense urban.
- 90% in semi-urban.
- 80% in rural.

ASSUMPTIONS

Hybrid Operations – Delivery Partners + Kirana Partners
After 1 Year, assuming 20% Orders Handled by Kirana Partners.

Current Valmo Model Delivery Partners	CURRENT MODEL of a City AREA	Urban Dense	Semi Urban	Rural
	Orders per sq km	36	18	6
	Total Orders	7200	3600	1200
	Orders Delivered per delivery partner per day	60	60	60
	total delivery partners fleet size	120	60	20
	Per Order Price	20	20	20
	total Cost current	144000	72000	24000
New Valmo Model Kirana Partners + Delivery Partners	20% Orders handled by Kirana Partners	1440	720	240
	Orders per kirana per day	30	20	10
	total kirana partners	48.00	36.00	24.00
	price per order	9	12	14
	Remaining orders by delivery partners	5,760.00	2,880.00	960.00
	Orders Delivered per delivery partner per day	60	60	60
	Number of other delivery partners	96.00	48.00	16.00
	price per order for other delivery partner	20	20	20
COST REDUCTION of area per day	total cost New	128160.00	66240.00	22560.00
COST REDUCTION of area per day	Total Cost Reduction	15840.00	5760.00	1440.00
	Cost Reduction%	11.00%	8.00%	6.00%



4000000+
ORDERS PICKED
PER DAY



Cost reduction per order = 2.2 Rs
TOTAL COST REDUCTION IN VALMO PER DAY = 88 LAKHS+